

ECO403

FINALTERM MOST IMPORTANT 80+ MCQS

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1. In the Solow growth model with technological growth rate, $y Y / (LxE)$ shows- per effective worker.

Select the correct option

- Capital
- Technology
- Labor
- **Output**

2. In the Solow growth model with technological growth, $k = K / (LxE)$ shows _____-per effective worker.

Select the correct option

- Output & labor
- **Capital**
- Output
- Labor

3. A decrease in tax that results from expansionary policy causes interest rate to ----

Select the correct option

- Monetary; fall.
- Fiscal; rise.
- **Fiscal: fall**
- Monetary, rise.

4. Which one of the following is production function?

Select the correct option

- $Y = F(K, L) + Y / L$
- $Y = F(k / k, L + K / L)$
- **$Y = F(K, L)$**
- $Y = F(K, L) + sfk$

5. The LM curve is _____

Select the correct option

- Negatively sloped.

- Vertical.
- **Positively sloped.**
- Horizontal.

6. John Maynard Keynes presented a simple theory in which the interest rate is determined by:

Select the correct option

- Money supply and rate of interest.
- **Money supply and money demand.**
- Real balances and aggregate demand.
- Money demand and rate of interest.

7. In the Solow model with technological progress, the steady state growth rate of output per effective worker is-

Select the correct option

- One.
- **Zero**
- $n-g$
- $n+g$

8. Suppose labor force (L) = 1000 in a year and population is growing at 1% per year then change in labor force will be-

Select the correct option

- 10%
- **10**
- 0.11.
- 1

9. If marginal propensity to consume (MPC) is 0.7, the government purchases multiplier is—

Select the correct option

- $1-0.7/-0.7$.
- $1/0.7$.
- $0.7/0.7$.
- **$1/0.3$.**

10. Macro-economic disequilibrium exists when aggregate supply is

Select the correct option

- **Not equal to aggregate demand.**
- Not equal to aggregate investment.
- Equal to aggregate demand.

- Equal to aggregate investment.

11. Scarcity can best be defined as a situation in which:

- ▶ There are no buyers willing to purchase what sellers have produced.
- ▶ There is more than enough money to satisfy consumers' wants.
- ▶ **Resources are limited in quantity and can be used in different ways.**
- ▶ There are not enough goods to satisfy all of the buyers' demand.

12. In the circular flow diagram, firms _____ inputs and households _____ products.

- ▶ **Supply; Demand**
- ▶ Demand; supply
- ▶ Supply; supply
- ▶ Demand ; demand

13. Gross domestic product measured in terms of the prices of a fixed, or base, year is:

- ▶ Base GDP.
- ▶ Current GDP.
- ▶ **Real GDP.**
- ▶ Nominal GDP.

14. The number of people unemployed equals:

- ▶ The number of people employed minus the labor force.
- ▶ The labor force plus the number of people employed.
- ▶ The number of people employed divided by the labor force.
- ▶ **The labor force minus the number of people employed.**

15. Keeping in mind the functions of money, which one of the following is money?

- ▶ **Currency**
- ▶ Check
- ▶ Credit cards
- ▶ Time deposits

16. Which of the following would not be included in M2?

- ▶ Demand deposits
- ▶ Checking accounts
- ▶ Money market accounts

► **None of the given options**

17. The relationship between consumer spending and income is known as the:

- 45-degree line.
- **Consumption function.**
- Investment function.
- Consumer price index.

18. All of the following statements about the marginal product of capital MPK are true EXCEPT:

- **$MPK = f(k + 1) - f(k)$. confusing**
- MPK tends to decline as k increases.
- When there is only a little capital, MPK is very small.
- MPK is equal to the slope of the production function $y = f(k)$.

19. A rightward shift in the aggregate demand curve can be caused by:

- An increase in government spending.
- **An increase in money supply.**
- A decrease in taxes.
- All of the given options.

20. The aggregate supply curve in the short run is different from the aggregate supply curve in the long run due to:

- The recurring nature of supply shocks.
- **The existence of sticky prices in the short run.**
- The wealth effect.
- The crowding out effect.

21. Fiscal policy shifts the:

- **The short run aggregate supply curve. Confusing**
- The long run aggregate supply curve.
- Full employment level of output.
- The aggregate demand curve.

22. If wages are sticky downward, an increase in labor:

- **Demand increases the wage rate.**
- Demand decreases the wage rate.
- Supply increases the wage rate.

- ▶ None of the given options.

23. Which of the following would a macroeconomist consider as investment?

- ▶ Julie buys a government bond.
- ▶ Fred purchases 100 shares of stock in Microsoft.
- ▶ **Tom buys a new tractor for his farm. Confusing**
- ▶ Jane buys a new car.

24. The nominal interest rate is:

- ▶ **Unadjusted for the effects of inflation.**
- ▶ The interest rate quoted in financial markets.
- ▶ Both unadjusted for the effects of inflation and the interest rate quoted in Financial markets.
- ▶ None of the given options.

25. If interest rates increase, people will most likely hold:

- ▶ More bonds and less cash.
- ▶ Less bonds and less cash.
- ▶ More bonds and more cash.
- ▶ **Less bonds and more cash.**

26. Intermediate goods are counted in the calculation of GDP.

- ▶ True
- ▶ **False**

27. Structural unemployment is the unemployment resulting from real wage rigidity and job Rationing.

- ▶ **True**
- ▶ False

28. As income rises, average propensity to consume (APC) falls.

- ▶ **True**
- ▶ False

29. Adaptive expectation is an approach that assumes that people base their expectations on all available information, including information about current and prospective future Policies.

► True

► False

30. The deposits that banks have received but have not lent out are called bank Investments.

► True

► False

31. When tax decreases then the disposable income (Y_d) _____ and consumption _____.

Options:

- A) Increases; increases
- B) Decreases; decreases
- C) Increases; decreases
- D) Decreases; increases

Correct Answer: B) Decreases; decreases

1. In the Solow model, there is _____ type of capital.

Options:

- A) 1
- B) 2
- C) 3
- D) 4

Correct Answer: A) 1

32. In the short-run equilibrium, if output is _____ level, then prices will remain constant.

Options:

- A) At the full employment
- B) Below the full employment
- C) Above the unemployment
- D) Above the natural rate of unemployment

Correct Answer: B) Below the full employment

33. If the marginal propensity to consume is 0.5, the tax multiplier is equal to _____.

Options:

- A) +0.5
- B) +1
- C) -0.5
- D) +1

Correct Answer: C) -0.5

34. Which one of the following is a production function?

Options:

- A) $Y = F(K, L) + Y/L$
- B) $Y = F(K/k, L + K/L)$
- C) $Y = F(K, L) + sfk$
- D) $Y = F(K, L)$

Correct Answer: D) $Y = F(K, L)$

35. In economics, a _____ is an _____ event that affects an economy either positively or negatively.

Options:

- A) Debt; expected
- B) Shock; expected
- C) Debt; unexpected
- D) Shock; unexpected

Correct Answer: D) Shock; unexpected

36. In the Solow model with technological progress, the steady-state growth rate of capital per effective worker is _____.

Options:

- A) Zero
- B) One
- C) $n - g$
- D) $n + g$

Correct Answer: A) Zero

37. The IS* curve shows the negative relationship between the nominal exchange rate and _____.

Options:

- A) Price level
- B) Output level
- C) Real exchange rate
- D) Interest rate

Correct Answer: D) Interest rate

38. John Maynard Keynes presented a simple theory in which the interest rate is determined by _____.

Options:

- A) Money demand and rate of interest
- B) Money supply and rate of interest
- C) Real balances and aggregate demand
- D) Money supply and money demand

Correct Answer: D) Money supply and money demand

39. In the Solow model, consumption per person is equal to _____.

Options:

- A) sy
- B) $(1-s)y$
- C) $(1*s)y$

D) $(1+s)y$

Correct Answer: B) $(1-s)y$

40. Which one of the following is NOT the example of adverse supply shock?

Options:

- a) Discovery of reserves
- b) Heavy rain
- c) Flood
- d) Earthquake

Correct Option: b) Heavy rain

41. The aggregate demand curve shows the relationship between the price level and the:

Options:

- a) Income
- b) Investment
- c) Quantity of output demanded
- d) Quantity of output supplied

Correct Option: c) Quantity of output demanded

42. In macro-economics, the word aggregate means:

Options:

- a) One
- b) Individual
- c) Totals
- d) Particular

Correct Option: c) Totals

43. A decrease in tax that results from expansionary fiscal policy causes interest rate to:

Options:

- a) Fall
- b) Rise

Correct Option: a) Fall

44. An expansionary monetary policy shifts:

Options:

- a) IS curve; right
- b) IS curve; left
- c) LM curve; left
- d) LM curve; right

Correct Option: d) LM curve; right

45. In the IS-LM model, an increase in money supply shifts:

Options:

- a) IS curve to the right
- b) IS curve to the left
- c) LM curve to the left
- d) LM curve to the right

Correct Option: d) LM curve to the right

46. As risk premium increases, interest rate increases, investment:

Options:

- a) Increases; leftward
- b) Increases; rightward
- c) Decreases; leftward
- d) Decreases; rightward

Correct Option: c) Decreases; leftward

47. With the help of fiscal and monetary policy, policymakers can affect:

Options:

- a) Exogenous
- b) Endogenous
- c) One
- d) Macroeconomic

Correct Option: d) Macroeconomic

48. In the IS-LM model, an increase in government purchases shifts:

Options:

- a) An increase; IS
- b) An increase; LM
- c) A decrease; LM
- d) A decrease; IS

Correct Option: a) An increase; IS

49. Which of the following is a correct statement?

Options:

- a) LM* curve is horizontal.
- b) LM* curve is vertical.
- c) LM* curve is positively sloped.
- d) LM* curve is negatively sloped.

Correct Option: b) LM* curve is vertical.

50. If marginal propensity to consume is 0.5, the tax multiplier is equal to

Select the correct option

- +0.5
- +1
- -0.5.
- **-1**

51. Which of the following is NOT the policy to increase the saving rate?

Select the correct option

- Replace federal income tax with a consumption tax.
- Reduce the government budget deficit.
- Increase incentives for private saving.
- **Decrease incentives for private saving.**

52. Macro-economic disequilibrium exists when aggregate supply is

Select the correct option

- not equal to aggregate investment.
- **not equal to aggregate demand.**
- equal to aggregate demand.
- equal to aggregate investment.

53. Development is impossible without domestic

Select the correct option

- **Savings.**
- Debt.
- Unemployment.
- Inflation.

54. Which of the following is an example of adverse supply shock?

Select the correct option

- Good weather
- Decrease in price of capital
- **Flood**
- Decrease in price of labor

55. No population growth, the steady-state level of capital per worker will increase whenever the

Select the correct option

- **Saving, Increases.**
- Tax; increases.
- Consumption; decreases.
- Saving; decreases.

56. If labor productivity per week is 10 units and there are 5 employees what is the total output?

Select the correct option

- 2
- 5
- **50**
- 10

57. In the IS-LM model, _____ In government purchases _____ Shifts-curve to the right.

Select the correct option

- **An increase; IS**
- An increase; LM
- A decrease; 15
- A decrease; LM

58. Due to a negative demand shock, aggregate demand curve will

Select the correct option

- **Shift towards left.**
- Shift towards right.
- Become vertical.
- Remain the same.

59. An expansionary monetary policy shifts.. To the.... . ..

Select the correct option

- LM curve; left.
- IS curve; right
- **LM curve; right**
- IS curve, left.

60. In the Solow growth model with technological growth, $kk/ (LE)$ shows—per effective worker.

Select the correct option

- Output & labor
- **Capital**
- Output
- Labor

61. With the help of fiscal and monetary policy, policy makers can affect Variables.

Select the correct option

- Exogenous
- Endogenous
- **Macroeconomic**
- One

62. If marginal propensity to consume (MPC) is 0.9, the government purchases multiplier is.....

Select the correct option

- **10**
- 1.11
- 2
- 5

63. In Solow model; production functions shows labor augmenting technological progress. Y is equal to:

Select the correct option

- $F(K+1, L+K)$
- $F(K+1, L+1+E+1)$
- $F(K, L+E)$
- **$F(K, L+E)$**

64. The policy actions aimed to reduce the severity of Economic fluctuations is known as

Select the correct option

- Long run; Trade policy.
- Short run; Fiscal policy.
- **Short run: Stabilization policy.**
- Long run, Monetary policy.

65. In Solow model consumption per person is equal to

Select the correct option

- Sy .
- $(1*s)y$.

- $(1+s)y$.
- $(1-s)y$.
-

66. In the IS-LM model, a decrease in money supply shifts

Select the correct option

- IS curve to the right..
- IS curve to the left.
- LM curve to the right.
- **LM curve to the left.**

67. In the IS-LM model, _____ in government purchases shifts-curve to the right.

Select the correct option

- An increase: LM
- A decrease; IS
- **An increase; IS**
- A decrease; LM

68. If marginal propensity to consume is 0.5, the tax multiplier is equal to

Select the correct option

- -0.5.
- **-1.**
- +1.
- +0.5.

69. The policy actions aimed to reduce the severity of economic fluctuations is known as

Select the correct option

- Long run; Monetary policy.
- Long run: Trade policy.
- Short run; Fiscal policy,
- **Short run; Stabilization policy.**

70. In the Solow model with technological progress, the steady state growth rate of output per effective worker is ----

Select the correct option

- **Zero.**
- One

- $n-g$
- $n+g$
-

71. Suppose the economy of China with population growth but no technological change Which of the following generate a higher steady state growth rate on total output

Select the correct option

- Higher hoarding rate
- Higher birth rate
- **Higher saving rate**
- Higher inflation rate

72. In the IS-LM model _____ An increase in government purchases can shift _____ Curve to the left

Select the correct option

- An increase LM
- A decrease LM
- **An increase; IS**
- A decrease: IS

73. A decrease in π that results from _____ expansionary

Select the correct option

- Monetary fall
- Monetary rate
- Fiscal fall
- **Fiscal rate**

74. IS curve is _____

Select the correct option

- Positively sloped.
- Horizontal.
- Vertical.
- **Negatively sloped**

75. Suppose the economy of China with population growth but no technological change. Which of the following will gene

Select the correct option

- Higher hoarding rate.
- Higher birth rate
- Higher saving rate.
- Higher inflation rate.

Which one of the following is correct formula of government purchases multiplier?

Select the correct option

- $-MPC/(1-MPC)$
- $(1-MPS)/(1-MPC)$
- $1/(1-MPS)$
- $1/(1-MPC)$

76. Due to a positive demand shock, aggregate demand curve will:

Select the correct option

- Shift towards right.
- Remain the same.
- Shift towards left.
- Become vertical.

77. In IS-LM framework, an expansionary fiscal policy shifts curve to the

Select the correct option

- LM; right
- IS: right
- LM; left
- IS: left.

78. The liquidity preference theory is presented by

Select the correct option

- Milton.
- Fisher.
- Adam smith.
- Johan Maynard Keynes.

79. The major difficulty for underdeveloped country to measure the economic growth is:

Select the correct option

- Preoccupation with other more important problems.
- Lack of skilled manpower.
- Lack of supply of empirical data.
- **All of the given options.**

80. According to the prediction of Solow model, countries with higher population growth rates will have

Select the correct option

- **Lower levels of capital and income per worker in the long run.**
- Lower levels of investment and income in the short run.
- Higher levels of capital and income per worker in the long run.
- Higher levels of capital and birth rate in the short run.

81. Which one of the following is NOT the example of adverse supply shock?

Select the correct option

- **Discovery of reserves**
- Heavy rain
- Flood
- Earthquakes

82. The important determinant of the steady state ratio of capital to labor is

Select the correct option

- Labor force
- Foreign aid.
- **Saving rate.**
- Output

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